

TIME FOR A TAX BREAK?

INDIVIDUAL TAXPAYERS LOOK FORWARD TO THE BUDGET EVERY YEAR HOPING FOR A BIG TAX BREAK. IT HAS ELUDED THEM FOR YEARS, BUT WITH HIGH INFLATION, MODERATING URBAN CONSUMPTION, AND ROBUST TAX COLLECTIONS, WILL THE MIDDLE CLASS GET A TAX BREAK IN FEBRUARY?

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AS THE GOVERNMENT prepares the Union Budget for 2025-26, which is expected to chart the course for the next four years of Prime Minister Narendra Modi's government, there is one demand that is refusing to go away: a reduction in income tax rates for India's burgeoning middle class.

Consistently high inflation and pricey food items have eaten into the disposable incomes of urban Indians, with private consumption in urban areas seen to be moderating while salaried and middle-class professionals argue that the main burden of personal income taxes falls on them. Besides, they add, consumers already pay high rates of goods and services tax (GST).

The demand for a reduction in rates comes as the number of individual income taxpayers in the country is estimated to cross the 100-million-mark in FY24, after coming in at 99 million in assessment year 2023-24 (FY23).

In fact, personal income tax (PIT) collections, inclusive of securities transaction tax (STT), crossed ₹10.45 lakh crore in FY24, helping to keep the government's coffers full, as against ₹9.11 lakh crore from corporate taxes. Between April and January 12, non-corporate taxes (including taxes paid by individuals, Hindu Undivided Families or HUFs, and firms) net of refunds amounted to ₹8.74 lakh crore and seem to be on track to meet the Budget Esti-